As for higher-yielding corporate bonds, this leaves investors more exposed to default risk; when the stock market drops, corporate bond prices tend to do the same, as increased default risk works its way into higher interest rates. This credit risk must be considered alongside any potential for increased yields.

As Jaconetti concluded her interview, she summarized the matter perfectly: by reaching for yield, investors trade higher current income for a greater risk to future income. This risk must be accepted when moving away from a total-return portfolio.